Chapter 4: Mutual Funds and Other Investment Companies

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DO NOT TAKE NOTES

(unless you really, really want to)

Investment Companies

- Functions
  - Record keeping and administration
  - Diversification and divisibility
  - Professional management
  - Lower transaction costs
- Definitions
  - Investment company: Financial intermediaries
  - Net asset value (NAV): Assets minus liabilities per share

Investment Companies

- Unit Investment Trusts
  - Money pooled from many investors is invested in portfolio fixed for life of fund
- Managed Investment Companies
  - A professional investment firm that manages a portfolio for an annual fee
  - Load: Sales commission charged on mutual fund
  - Open-end or Closed-end fund

Investment Companies

	Open-End Funds	**Closed-End Funds**
Shares	Change when new shares are sold or old shares are redeemed	No change unless new stock is offered
Pricing	Fund Share Price = Net Asset Value (NAV)	Fund Share Price may trade at a premium or dicsount to NAV.

Investment Companies

Investment Organization	**Characteristics**
Commingled Funds	Partnership of investors pooling funds; designed for trusts/larger retirement accounts to get professional management for a fee.
Real Estate Investment Trusts (REITs)	Private investment pools; exempt from SEC regulation. Can be speculative in nature
Hedge Fund	Private investment pools; exempt from SEC regulation. Can be speculative in nature.

Investment Companies

Money Market Mutual Fund	Commercial Paper, Repos, CDs
Equity Funds	Stocks, Some fixed-income or other securities
Equity Sector Funds	Stocks concentrated in a particular industry
Bond Funds	Specialize in fixed-income (bond) sector
Global Funds	World wide securities, including the US
International Funds	World wide securities, excluding the US
International Regional Funds	Securities concentrated in certain regions
Emerging Markets Funds	Securities from developing nations

Investment Companies

Balanced Fund	Hold both equities and fixed-income securities
Life Cycle Fund: Static Allocation	Hold both equities and fixed-income securities stable proportions
Life Cycle Fund: Targeted-Maturity	Targeted maturity funds become more conservative as investor ages
Asset Allocation/Flexible Funds	Hold both equities and fixed-income securities proportion varies according to market forecast (market timing)
Index Funds	Try to match performance of broad market index; Buy shares in proportion to security's representation in index
Fund of Funds	Mutual funds that primarily invest in other mutual funds

Investment Companies

Operating Expenses	Costs incurred by mutual fund in operating portfolio
Front-end Load	Commission or sales charge paid when purchasing shares
Back-end load	"Exit" fee incurred when shares
12b-1 charges	Annual fees charged by mutual fund to pay for marketing/distribution costs

Fees, Loads, and Performance

- Gross performance of load funds is statistically identical to gross performance of no-load funds
- Funds with high expenses tend to be poorer performers
- 12b-1 charges should be added to expense ratios
- Compare costs with Morningstar

NAV and Effective Load

- Cost to initially purchase one share of load fund = NAV + Front-end load (%) (if any)
- Stated loads typically range from 0 to 8.5%
- Load is designed to offset expenses of marketing the fund; it goes to broker who sells fund to investor
- Effective load greater than stated load

General Tax Rules

- Fund not taxed if diversified and income distributed
- Investor taxed on capital gain and dividend distributions
- Turnover: Ratio of trading activity to assets of portfolio
- Portfolio turnover may affect investors tax liability

Implications of Fund Turnover

- Fund pays commission costs on portfolio purchases and salescharged against NAV
- Turnover rate measured as annual total asset value bought or sold in a year divided by average total asset value

Investing in Mutual Funds

$$\text{Rate of Return} = \frac{\text{NAV}_1 - \text{NAV}_0 + \text{Distribution}}{\text{NAV}_0} \tag{1}$$

Exchange Traded Funds

SPDR
STATE STREET GLOBAL ADVISORS

Exchange Traded Funds

Exchange-Traded Funds: mutual funds that allow investor to trade index portfolios

Benefits	**Disadvantages**
Trade continuously throughtout the day	Small deviations from NAV possible
Can be sold or purchased on margin	Brokerage commission to buy ETFs
Potentially lower tax rates	
Lower Costs (no marketing, lower fund expenses	

Homework

Remember: 20 Questions on Chapter 4